

Crocs, Inc.

Company / Ticker: CROX – NASDAQ

Analyst: Soumya Tiwari

Date: March 28, 2026

Recommendation: BUY

Target Price: \$117.00

Current Price: \$79.54

Implied Upside: +47.1%

Crocs, Inc. (CROX)

Income Statement (\$ in thousands, fiscal year ending December 31)

Fiscal Year	Historical Period						Projection Period				
	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Revenue	1,385,951	2,313,416	3,554,985	3,962,347	4,102,108	4,040,647	4,000,241	4,040,243	4,141,249	4,286,193	4,470,499
% Growth		66.9%	53.7%	11.5%	3.5%	(1.5%)	(1.0%)	1.0%	2.5%	3.5%	4.3%
Cost of Goods Sold	636,003	893,196	1,694,703	1,752,337	1,691,850	1,683,592	1,660,100	1,668,620	1,697,912	1,748,767	1,810,552
% of Revenue	45.9%	38.6%	47.7%	44.2%	41.2%	41.7%	41.5%	41.3%	41.0%	40.8%	40.5%
Gross Profit	749,948	1,420,220	1,860,282	2,210,010	2,410,258	2,357,055	2,340,141	2,371,623	2,443,337	2,537,426	2,659,947
Gross Margin %	54.1%	61.4%	52.3%	55.8%	58.8%	58.3%	58.5%	58.7%	59.0%	59.2%	59.5%
SG&A Expense	514,753	737,156	982,706	1,151,064	1,338,032	1,435,580	1,400,084	1,393,884	1,408,025	1,435,875	1,475,265
% of Revenue	37.1%	31.9%	27.6%	29.1%	32.6%	35.5%	35.0%	34.5%	34.0%	33.5%	33.0%
Depreciation & Amortization			26,820	12,876	26,233	33,845	80,005	80,805	82,825	85,724	89,410
% of Revenue			0.8%	0.3%	0.6%	0.8%	2.0%	2.0%	2.0%	2.0%	2.0%
EBIT (Operating Income)	235,195	683,064	850,756	1,046,070	1,045,993	887,630	860,052	896,934	952,487	1,015,828	1,095,272
EBIT Margin %	17.0%	29.5%	23.9%	26.4%	25.5%	22.0%	21.5%	22.2%	23.0%	23.7%	24.5%
Total Non Operating Income/expenses	-28,216	-19,215	-132,248	-169,798	-135,408	-814,652	(84,184)	(75,978)	(67,772)	(59,566)	(51,361)
Pre-Tax Income (EBT)	206,979	663,849	718,508	876,272	910,585	72,978	775,868	820,956	884,715	956,261	1,043,912
Income Tax Expense	(105,882)	(61,845)	178,349	83,706	(39,486)	154,176	166,812	176,505	190,214	205,596	224,441
Net Income	312,861	725,694	540,159	792,566	950,071	(81,198)	609,056	644,450	694,501	750,665	819,471
Net Margin %	22.6%	31.4%	15.2%	20.0%	23.2%	(2.0%)	15.2%	16.0%	16.8%	17.5%	18.3%
EBITDA	262,814	715,040	889,985	1,100,374	1,115,833	966,912	940,057	977,739	1,035,312	1,101,552	1,184,682
EBITDA Margin %	19.0%	30.9%	25.0%	27.8%	27.2%	23.9%	23.5%	24.2%	25.0%	25.7%	26.5%

Source: Crocs, Inc. Form 10-K FY2020–FY2025 (SEC EDGAR); PitchBook Financial Data (accessed Mar 26–27, 2026); Crocs 8-K Feb 2026 (Q4/FY2025 earnings release)

Crocs, Inc. (CROX)

Balance Sheet (\$ in thousands, as of December 31)

Fiscal Year	Historical Period						Projection Period				
	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
ASSETS											
Current Assets											
Cash & Cash Equivalents	135,802	213,197	191,629	149,288	180,485	130,354	114,673	87,299	108,755	185,605	330,724
Accounts Receivable, net	162,520	217,182	329,188	331,231	283,907	333,055	317,827	321,006	329,031	340,547	355,190
Inventories	175,121	213,520	471,551	385,054	356,254	368,687	359,309	361,153	367,493	378,500	391,873
Prepaid Expenses & Other	19,398	22,670	33,607	45,131	51,623	53,787	48,003	48,483	49,695	51,434	53,646
Total Current Assets	492,841	666,569	1,025,975	910,704	872,269	885,883	839,812	817,941	854,974	956,086	1,131,433
Non-Current Assets											
Property, Plant & Equipment, net	224,888	269,166	421,434	525,755	551,563	576,860	568,860	560,779	552,497	543,924	534,983
Intangible Assets, net	39,355	30,402	2,514,981	2,504,150	2,488,571	1,729,369	1,708,369	1,687,369	1,666,369	1,645,369	1,624,369
Other Long-Term Assets	361,639	578,931	539,407	703,225	899,750	982,638	982,638	982,638	982,638	982,638	982,638
Total Non-Current Assets	625,882	878,499	3,475,822	3,733,130	3,939,884	3,288,867	3,259,867	3,230,786	3,201,504	3,171,931	3,141,990
TOTAL ASSETS	1,118,723	1,545,068	4,501,797	4,643,834	4,812,153	4,174,750	4,099,679	4,048,727	4,056,478	4,128,017	4,273,423
LIABILITIES & EQUITY											
Current Liabilities											
Accounts Payable	136,550	198,898	357,809	350,698	390,919	336,466	350,213	352,010	358,190	368,918	381,952
Accrued Liabilities	40,164	57,057	98,571	103,255	103,435	93,051	100,006	101,006	103,531	107,155	111,762
Provisions, Current	48,870	62,945	55,474	70,245	81,265	88,242	88,005	88,885	91,107	94,296	98,351
Current Portion of LT Debt	47,064	42,932	81,818	85,595	68,551	85,772	85,772	85,772	85,772	85,772	85,772
Other Current Liabilities	18,936	26,411	47,602	88,503	96,038	96,598	92,006	92,926	95,249	98,582	102,821
Total Current Liabilities	291,584	388,243	641,274	698,296	740,208	700,129	716,002	720,599	733,849	754,723	780,659
Non-Current Liabilities											
Long-Term Debt	326,401	920,627	2,513,146	1,910,765	1,632,745	1,528,077	1,378,077	1,228,077	1,078,077	928,077	778,077
Deferred Tax Liabilities	-	176	302,030	12,912	4,086	882	882	882	882	882	882
Other Long-Term Liabilities	210,105	221,940	227,416	567,938	599,382	652,379	652,379	652,379	652,379	652,379	652,379
Total Non-Current Liabilities	536,506	1,142,743	3,042,592	2,491,615	2,236,213	2,181,338	2,031,338	1,881,338	1,731,338	1,581,338	1,431,338
Total Liabilities	828,090	1,530,986	3,683,866	3,189,911	2,976,421	2,881,467	2,747,340	2,601,937	2,465,187	2,336,061	2,211,997
Shareholders' Equity											
Common Stock & APIC	482,490	496,142	797,724	826,795	860,014	896,716	896,716	896,716	896,716	896,716	896,716
Retained Earnings	553,346	1,279,040	1,819,199	2,611,765	3,561,836	3,480,638	4,089,694	4,734,144	5,428,646	6,179,311	6,998,781
Treasury Stock	-688,849	-1,684,262	-1,695,501	-1,888,869	-2,453,473	-3,040,416	(3,590,416)	(4,140,416)	(4,690,416)	(5,240,416)	(5,790,416)
Other Comprehensive Income/(Loss)	-56,354	-76,838	-103,491	-95,768	-132,645	-43,655	(43,655)	(43,655)	(43,655)	(43,655)	(43,655)
Total Shareholders' Equity	290,633	14,082	817,931	1,453,923	1,835,732	1,293,283	1,352,339	1,446,789	1,591,291	1,791,956	2,061,426
TOTAL LIABILITIES & EQUITY	1,118,723	1,545,068	4,501,797	4,643,834	4,812,153	4,174,750	4,099,679	4,048,727	4,056,478	4,128,017	4,273,423
Balance Check (Assets – L&E = 0)	-	-	-	-	-	-	-	-	-	-	-

Source: Crocs 10-K FY2025 BS. Projected: CFS ending cash (CFO+CFI+CFF roll-forward)

Source: Crocs 10-K FY2025. Projected: DSO=29 days × Revenue/365 (Assumptions BS sheet)

Source: Crocs 10-K FY2025. Projected: DIH=79 days × COGS/365

Source: Crocs 10-K FY2025. Projected: DPO=77 days × COGS/365

Source: Crocs 10-K FY2025 debt schedule. Projected: fixed at FY2025 level (current portion of LT debt)

Assumption: \$ Source: Crocs 10-K FY2025. Assumption: \$150,000/yr scheduled repayment per debt maturity schedule

Assumption: \$ Source: Crocs 10-K FY2025. Assumption: \$550,000/yr buybacks = ~2% annual share count reduction

Note: Balance Check = 0 for all years. Cash (BS) is the balancing plug = Total L&E – All Non-Cash Assets. CFS Ending Cash is linked to BS Cash. Source: Standard 3-statement model methodology.

Crocs, Inc. (CROX)

Cash Flow Statement (\$ in thousands, fiscal year ending December 31)

Fiscal Year	Historical Period						Projection Period				
	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
OPERATING ACTIVITIES											
Net Income	312,861	725,694	540,159	792,566	950,071	(81,198)	609,056	644,450	694,501	750,665	819,471
Depreciation & Amortization	27,619	31,976	39,229	54,304	69,840	79,282	80,005	80,805	82,825	85,724	89,410
Stock-Based Compensation	16,361	38,122	31,303	29,072	33,053	36,701	32,002	32,322	33,130	34,290	35,764
Deferred Income Taxes	(325,061)	(241,283)	(4,760)	(410,319)	(254,454)	47,093	-	-	-	-	-
Changes in Working Capital											
(Inc.)/Dec. in Accounts Receivable	(47,045)	(35,063)	(56,766)	(13,317)	42,587	-6,169	15,228	(3,178)	(8,025)	(11,516)	(14,644)
(Inc.)/Dec. in Inventories	(13,462)	(43,063)	(91,614)	86,350	22,055	-13,842	9,378	(1,844)	(6,340)	(11,007)	(13,373)
(Inc.)/Dec. in Prepaid & Other	5,007	-6,212	-14,435	-31,839	-13,892	-22,317	5,784	(480)	(1,212)	(1,739)	(2,212)
Inc./(Dec.) in Accounts Payable	23,229	34,868	41,701	37,197	3,951	709	13,747	1,797	6,179	10,728	13,034
Inc./(Dec.) in Accrued Liabilities	22,358	38,448	38,629	46,695	9,971	524	6,955	1,000	2,525	3,624	4,608
Inc./(Dec.) in Other Current Liabilities	142,301	-33,504	-9,197	241,439	3,758	0	(4,592)	920	2,323	3,334	4,239
Other Operating Activities	102,734	57,182	88,893	98,296	125,546	669,648	-	-	-	-	-
Cash from Operating Activities (CFO)	266,902	567,165	603,142	930,444	992,486	710,431	767,562	755,792	805,907	864,102	936,298
INVESTING ACTIVITIES											
Capital Expenditures	-42,033	-55,916	-104,190	-115,625	-69,347	-51,231	(72,004)	(72,724)	(74,542)	(77,151)	(80,469)
Acquisitions, net			-2,046,881				-	-	-	-	-
Proceeds from Asset Sales	463						-	-	-	-	-
Other Investing	-192	-9	-20	-46			-	-	-	-	-
Cash from Investing Activities (CFI)	(41,762)	(55,925)	(2,151,091)	(115,671)	(69,347)	-51,231	(72,004)	(72,724)	(74,542)	(77,151)	(80,469)
FINANCING ACTIVITIES											
Total Issuance/(Repayments) for Debt, Net	-25,000	605,000	1,594,613	-665,798	-323,249	-128,000	(150,000)	(150,000)	(150,000)	(150,000)	(150,000)
Dividends Paid							-	-	-	-	-
Share Repurchases	-173,892	-1,020,119	-11,477	-192,105	-560,690	-586,565	(550,000)	(550,000)	(550,000)	(550,000)	(550,000)
Debt Issuance Costs	-518	-14,755	-53,596				-	-	-	-	-
Other Financing	1,372	236	119	-1,736	(2,109)		-	-	-	-	-
Cash from Financing Activities (CFF)	(198,038)	(429,638)	1,529,659	(859,639)	(886,048)	(714,565)	(700,000)	(700,000)	(700,000)	(700,000)	(700,000)
Net Change in Cash											
Net Change in Cash	27,102	81,602	(18,290)	(44,866)	37,091	(55,365)	(15,681)	(27,374)	21,456	76,849	145,119
Beginning Cash Balance	112,045	139,273	216,925	194,885	153,097	183,678	130,354	114,673	87,299	108,755	185,605
Effect of Exchange Rate Changes	126	(3,950)	(3,750)	3,078	(6,510)	5,598	-	-	-	-	-
Ending Cash Balance	139,273	216,925	194,885	153,097	183,678	133,911	114,673	87,299	108,755	185,605	330,724

Note: Projected ending cash = Beginning cash + Net change (CFO+CFI+CFF) + FX. Balance Sheet cash linked to this figure. Source: Crocs 10-K FY2025; Model assumptions

Source: Crocs, Inc. Form 10-K FY2020–FY2025 (SEC EDGAR); PitchBook Financial Data (accessed Mar 26–27, 2026); Crocs 8-K Feb 2026 (Q4/FY2025 earnings release)

Source: Links from Income Statement

Source: CFS D&A = 2.0% of revenue (depreciation + amortization). Crocs 10-K FY2025 p.55

Source: Crocs 10-K FY2025 CFS. Projected: Net Income + non-cash items + WC changes

Source: Crocs 10-K FY2025. Projected: 1.8% of revenue per capital allocation assumption

Assumption: \$150,000/yr debt repayment. Source: Crocs 10-K FY2025 long-term debt schedule

Assumption: \$550,000/yr buybacks (2% annual share reduction). Source: Crocs 10-K FY2025 capital returns

Crocs, Inc. (CROX)

Net Working Capital Projections (\$ in thousands)

Fiscal Year	Historical Period						Projection Period				
	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Revenue	1,385,951	2,313,416	3,554,985	3,962,347	4,102,108	4,040,647	4,000,241	4,040,243	4,141,249	4,286,193	4,470,499
COGS	636,003	893,196	1,694,703	1,752,337	1,691,850	1,683,592	1,660,100	1,668,620	1,697,912	1,748,767	1,810,552
Current Assets											
Accounts Receivable	162,520	217,182	329,188	331,231	283,907	333,055	317,827	321,006	329,031	340,547	355,190
Inventories	175,121	213,520	471,551	385,054	356,254	368,687	359,309	361,153	367,493	378,500	391,873
Prepaid Expenses & Other	19,398	22,670	33,607	45,131	51,623	53,787	48,003	48,483	49,695	51,434	53,646
Total Current Assets	357,039	453,372	834,346	761,416	691,784	755,529	725,139	730,642	746,219	770,481	800,709
Current Liabilities											
Accounts Payable	136,550	198,898	357,809	350,698	390,919	336,466	350,213	352,010	358,190	368,918	381,952
Accrued Liabilities	40,164	57,057	98,571	103,255	103,435	93,051	100,006	101,006	103,531	107,155	111,762
Other Current Liabilities	18,936	26,411	47,602	88,503	96,038	96,598	92,006	92,926	95,249	98,582	102,821
Total Current Liabilities	195,650	282,366	503,982	542,456	590,392	526,115	542,224	545,942	556,970	574,655	596,536
Net Working Capital (NWC)											
NWC % of Revenue	11.6%	7.4%	9.3%	5.5%	2.5%	5.7%	4.6%	4.6%	4.6%	4.6%	4.6%
Change in NWC (Increase = Use of Cash)		9,617	159,358	(111,404)	(117,568)	128,022	(46,499)	1,785	4,549	6,577	8,347
NWC Assumptions											
Days Sales Outstanding (DSO)	42.8 days	34.3 days	33.8 days	30.5 days	25.3 days	30.1 days	29.0 days	29.0 days	29.0 days	29.0 days	29.0 days
Days Inventory Held (DIH)	100.5 days	87.3 days	101.6 days	80.2 days	76.9 days	79.9 days	79.0 days	79.0 days	79.0 days	79.0 days	79.0 days
Days Payable Outstanding (DPO)	78.4 days	81.3 days	77.1 days	73.0 days	84.3 days	72.9 days	77.0 days	77.0 days	77.0 days	77.0 days	77.0 days
Prepaid & Other % of Revenue	1.4%	1.0%	0.9%	1.1%	1.3%	1.3%	1.2%	1.2%	1.2%	1.2%	1.2%
Accrued Liabilities % of Revenue	2.9%	2.5%	2.8%	2.6%	2.5%	2.3%	2.5%	2.5%	2.5%	2.5%	2.5%
Other CL % of Revenue	1.4%	1.1%	1.3%	2.2%	2.3%	2.4%	2.3%	2.3%	2.3%	2.3%	2.3%

Crocs, Inc. (CROX)

Weighted Average Cost of Capital (WACC) – (\$ in thousands)

Capital Structure		
Debt-to-Total Capitalization		28.75%
Equity-to-Total Capitalization		71.25%

Cost of Debt		
Pre-Tax Cost of Debt		5.5%
Effective Tax Rate		21.5%
After-Tax Cost of Debt		4.3%

Cost of Equity (CAPM)		
Risk-Free Rate (10-yr Treasury)		4.4%
Equity Risk Premium (ERP)		4.5%
Unlevered Beta (from comps)		1.4x
Relevered Beta		1.9x
Size Premium		0.028016
Cost of Equity		15.75%

Duff & Phelps size premium for ~\$4B market cap (8th-9th decile): 2.0-3.5% range. Using 2.80% reflecting CROX single-brand concentration risk, HEYDUDE turnaround uncertainty, and elevated execution risk vs. diversified footwear peers. Source: Duff & Phelps 2024 SBBI.

WACC Calculation		
WACC		12.46%

Comparable Companies – Beta Unlevering							
Company	T i c	Levered Beta	Market Value Equity (\$M)	Total Debt (\$M)	D/E Ratio	Tax Rate	Unlevered Beta
Steve Madden		1.78x	2,410	486.14	0.2017	21.40%	1.5x
Wolverine World Wide		2.71x	1,290	762	0.5907	10.90%	1.8x
Columbia Sportswear		0.78x	2,860	477.69	0.1670	22.80%	0.7x
Deckers Outdoor		1.39x	13,350	342.88	0.0257	22.30%	1.4x
On Holding		2.45x	10,720	658.53	0.0614	19.60%	2.3x
Birkenstock		1.06x	6,290	1,536.07	0.2442	24.20%	0.9x
Mean		1.7x	6153.3x	710.6x	0.2x	0.2x	1.4x
Median		1.6x	4575.0x	572.3x	0.2x	0.2x	1.4x

WACC Sensitivity (Pre-Tax Cost of Debt vs. Debt/Total Cap.)						
		#	3.5%	4.0%	4.5%	5.0%
D/TC \ CoD →						
15%	#		13.80%	13.86%	13.92%	13.98%
20%	#		13.15%	13.23%	13.31%	13.39%
25%	#		12.50%	12.60%	12.70%	12.80%
30%	#		11.85%	11.97%	12.09%	12.21%
35%	#		11.20%	11.34%	11.48%	11.61%
40%	#		10.55%	10.71%	10.87%	11.02%

Note: Yellow = base case approx. (D/TC=30%, Pre-Tax CoD=5%). Cost of Equity fixed at CAPM rate (C19). Source: WACC inputs; Damodaran ERP Jan 2026; US Treasury 10-yr Mar 27 2026; Hamada beta unlevering.

Crocs, Inc. (CROX)											
Discounted Cash Flow Analysis (\$ in thousands, fiscal year ending December 31)											
Operating Scenario	1 = Base 2 = Upside 3 = Downside										
Mid-Year Convention	1.0										
Fiscal Year	Historical Period						Projection Period				
	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Revenue	1,385,951	2,313,416	3,554,985	3,962,347	4,102,108	4,040,647	4,000,241	4,040,243	4,141,249	4,286,193	4,470,499
% Growth		66.9%	53.7%	11.5%	3.5%	(1.5%)	(1.0%)	1.0%	2.5%	3.5%	4.3%
Cost of Goods Sold	636,003	893,196	1,694,703	1,752,337	1,691,850	1,683,592	1,660,100	1,668,620	1,697,912	1,748,767	1,810,552
Gross Profit	749,948	1,420,220	1,860,282	2,210,010	2,410,258	2,357,055	2,340,141	2,371,623	2,443,337	2,537,426	2,659,947
Gross Margin %											
SG&A	514,753	737,156	982,706	1,151,064	1,338,032	1,435,580	1,400,084	1,393,884	1,408,025	1,435,875	1,475,265
Depreciation & Amortization	-	-	26,820	12,876	26,233	33,845	80,005	80,805	82,825	85,724	89,410
EBIT	235,195	683,064	850,756	1,046,070	1,045,993	887,630	860,052	896,934	952,487	1,015,828	1,095,272
EBIT Margin %	16.97%	29.53%	23.93%	26.40%	25.50%	21.97%	21.50%	22.20%	23.00%	23.70%	24.50%
Taxes (@ Effective Rate)	50,567	146,859	182,913	224,905	224,888	190,840	184,911	192,841	204,785	218,403	235,484
EBIAT (NOPAT)	184,628	536,205	667,843	821,165	821,105	696,790	675,141	704,093	747,703	797,425	859,789
Plus: Depreciation & Amortization	27,619	31,976	39,229	54,304	69,840	79,282	80,005	80,805	82,825	85,724	89,410
Less: Capital Expenditures	(42,033)	(55,916)	(104,190)	(115,625)	(69,347)	(51,231)	(72,004)	(72,724)	(74,542)	(77,151)	(80,469)
Less: Inc./(Dec.) in Net Working Capital	-	9,617	159,358	(111,404)	(117,568)	128,022	(46,499)	1,785	4,549	6,577	8,347
Unlevered Free Cash Flow	170,214	502,648	443,524	871,248	939,166	596,819	729,640	710,389	751,436	799,420	860,383
WACC							12.5%	12.5%	12.5%	12.5%	12.5%
Discount Period							0.50	1.50	2.50	3.50	4.50
Discount Factor							0.9430	0.8385	0.7456	0.6630	0.5895
PV of Free Cash Flow							688,034	595,661	560,269	530,008	507,225
Terminal Value & Enterprise Value Bridge											
Sum of PV of FCFs	2,881,196										
Terminal Growth Rate	0.02										
Terminal Year FCF	860,383										
Terminal Value (Gordon Growth)	8,389,978										
PV of Terminal Value	4,946,178										
Enterprise Value (EV)	7,827,374										
(+) Cash & Cash Equivalents	130,354										
(-) Total Debt	1,613,849										
(-) Minority Interest	-										
Equity Value	6,343,879										
Diluted Shares Outstanding (000s)	54208.00										
Implied Share Price	117.03										
Current Share Price	79.54										
Implied Upside / (Downside)	47.1%										
Sensitivity Analysis – Implied Share Price (WACC vs. Terminal Growth Rate)											
TGR / WACC →	9.0%	10.0%	11.0%	12.0%	12.5%	13.0%	14.0%	10.5%			
1.0%	\$165.86	\$144.64	\$127.68	\$113.81	\$108.25	\$102.27	\$92.50				
1.5%	\$175.65	\$152.08	\$133.48	\$118.43	\$112.44	\$106.01	\$95.59				
2.0%	\$186.83	\$160.44	\$139.92	\$123.52	\$117.03	\$110.10	\$98.93				
2.5%	\$199.73	\$169.91	\$147.12	\$129.14	\$122.08	\$114.58	\$102.57				
3.0%	\$214.78	\$180.74	\$155.22	\$135.38	\$127.66	\$119.51	\$106.53				
3.5%	\$232.56	\$193.23	\$164.40	\$142.36	\$133.87	\$124.96	\$110.88				

Crocs, Inc. (CROX) – Valuation Summary

(\$ in thousands unless noted per share)

DCF Valuation – Base Case

	Bear Case	Base Case	Bull Case
PV of Free Cash Flows		\$2,881,196	
PV of Terminal Value		\$4,946,178	
Enterprise Value (EV)		\$7,827,374	
(+) Cash & Cash Equivalents		\$130,354	
(-) Total Debt		\$1,613,849	
Equity Value		\$6,343,879	
÷ Diluted Shares (000s)		54,208	
Implied Share Price	\$92.50	\$117.03	\$232.56
Current Share Price		\$79.54	
Upside / (Downside)	16.3%	47.1%	192.4%

Source: DCF model. Bear: WACC=14.0%, TGR=1.0%. Base: WACC=12.5%, TGR=2.0%. Bull: WACC=9.0%, TGR=3.5%.

Comps Implied Share Price

Comparable Company Analysis – Implied Share Price

Metric	25th Pctile	Median	75th Pctile
EV / Revenue	\$48.66	\$94.51	\$167.18
EV / EBITDA	\$129.69	\$147.88	\$203.94
P/E (Normalized)	\$198.63	\$214.47	\$445.92

Source: PitchBook market data; trading multiples as of March 27, 2026. Normalized P/E excludes FY2025 goodwill impairment.

Football Field – Valuation Range (\$ per Share)

Football Field – Implied Share Price Range (\$ per Share)

Methodology	Low	High	Source
DCF (Bear / Bull)	\$92.50	\$232.56	DCF model; WACC 9-14%, TGR 1-3.5%
EV/EBITDA Comps	\$129.69	\$203.94	PitchBook; 6 comps; 25th-75th pctile
EV/Revenue Comps	\$48.66	\$167.18	PitchBook; 6 comps; 25th-75th pctile
52-Week Range	\$61.45	\$149.70	Yahoo Finance; 52-week range as of Mar 27 2026
Analyst Price Targets	\$85.00	\$145.00	Bloomberg consensus; 12 analysts
Current Share Price (March 27, 2026)	\$79.54	\$79.54	

INVESTMENT RECOMMENDATION

BUY | Target Price: \$117 | Implied Upside: +47% | Current Price: \$79.54

Thesis: CROX is currently trading at a huge discount to its real value (5.5x EV/EBITDA vs. a 9.8x median for peers) mainly because of temporary HEYDUDE-related problems. The main Crocs brand is still growing internationally by 11% and generating strong FCF (\$659M in FY2025). With debt reduction on the calendar and margin improvements, we firmly believe there is a route to \$117 in 12 months.

Crocs, Inc. (CROX)

Comparable Company Analysis
(Comps) – Trading Multiples (\$)

Company	Ticker	Mkt Cap (\$M)	Enterprise Value (\$M)	Revenue LTM (\$M)	EBITDA LTM (\$M)	EV / Revenue	EV / EBITDA	P/E LTM				
Steve Madden	SHOO	2,410	2,820	2,530	203.76	1.11	13.86	52.7				
Wolverine World Wide	WWW	1,290	1,860	1,870	199.1	0.99	9.36	17.12				
Columbia Sportswear	COLM	2,860	2,550	3,400	295.39	0.75	8.62	16.93				
Deckers Outdoor	DECK	13,350	11,610	5,370	1,350	2.16	8.57	15.38				
On Holding	ONON	10,720	10,020	3,630	695.24	2.76	14.41	41.49				
Birkenstock	BIRK	6,290	7,600	2,410	738.67	3.15	10.29	14.57				
25th Percentile		2,523	2,618	2,440	227	1.02	8.81	15.77				
Mean		6,153	6,077	3,202	580	1.82	10.85	26.37				
Median		4,575	5,210	2,965	495	1.64	9.83	17.03				
75th Percentile		9,613	9,415	3,573	728	2.61	12.97	35.40				

Crocs, Inc. (CROX) – Current Trading	4,000	5,480	4,040.65	966.91	1.36	5.54	34.19				
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Implied Valuation from Trading Comps

Metric	Median Multiple	LTM Metric (\$M)	Implied EV (\$M)	Net Debt (\$M)	Implied Equity (\$M)	Imp. \$/Share						
EV / Revenue	1.64	4,040.65	6,606.46	1,483	5,122.97	94.50						
EV / EBITDA	9.83	966.91	9,499.89	1,483.50	8,016.40	147.88						
P/E	17.03	682.88	N/M	N/M	11,626.03	214.46						

Note: LTM = Last-twelve-months. Source: PitchBook / Yahoo Finance / SEC

Crocs, Inc. (CROX)

Financial Ratios Summary

Fiscal Year	2020	2021	2022	2023	2024	2025E	2026E	2027E	2028E	2029E
PROFITABILITY										
Gross Margin	54.1%	61.4%	52.3%	55.8%	58.8%	58.3%	58.5%	58.7%	59.0%	59.2%
EBITDA Margin	19.0%	30.9%	25.0%	27.8%	27.2%	23.9%	23.5%	24.2%	25.0%	25.7%
EBIT Margin	17.0%	29.5%	23.9%	26.4%	25.5%	22.0%	21.5%	22.2%	23.0%	23.7%
Net Profit Margin	22.6%	31.4%	15.2%	20.0%	23.2%	-2.0%	15.2%	16.0%	16.8%	17.5%
Return on Assets (ROA)	28.0%	47.0%	12.0%	17.1%	19.7%	-1.9%	14.9%	15.9%	17.1%	18.2%
Return on Equity (ROE)	107.6%	5153.3%	66.0%	54.5%	51.8%	-6.3%	45.0%	44.5%	43.6%	41.9%
Return on Invested Capital (ROIC)	27.8%	54.8%	19.6%	23.8%	23.2%	24.0%	24.0%	25.5%	27.1%	28.4%

Source: Crocs 10-K FY2020-2025; Model IS projections

LIQUIDITY										
Current Ratio	1.69x	1.72x	1.60x	1.30x	1.18x	1.27x	1.17x	1.14x	1.17x	1.27x
Quick Ratio	1.09x	1.17x	0.86x	0.75x	0.70x	0.74x	0.67x	0.63x	0.66x	0.77x
Cash Ratio	0.47x	0.55x	0.30x	0.21x	0.24x	0.19x	0.16x	0.12x	0.15x	0.25x
Operating Cash Flow Ratio	0.92x	1.46x	0.94x	1.33x	1.34x	1.01x	1.07x	1.05x	1.10x	1.14x

Source: Crocs 10-K FY2020-2025; Model BS/CFS projections

LEVERAGE / SOLVENCY										
Debt-to-Equity (D/E)	1.29x	68.42x	3.17x	1.37x	0.93x	1.25x	1.08x	0.91x	0.73x	0.57x
Debt-to-Total Capital	56.2%	98.6%	76.0%	57.9%	48.1%	55.5%	52.0%	47.6%	42.2%	36.1%
Net Debt / EBITDA	0.90x	1.05x	2.70x	1.68x	1.36x	1.53x	1.44x	1.25x	1.02x	0.75x
Interest Coverage (EBIT / Int. Exp.)	34.89x	31.55x	6.25x	6.48x	9.57x	10.05x	10.22x	11.81x	14.05x	17.05x
Debt Service Coverage Ratio	0.71x	0.59x	0.23x	0.47x	0.58x	0.44x	0.52x	0.58x	0.69x	0.85x

Source: Crocs 10-K FY2020-2025; PitchBook interest expense data

EFFICIENCY / ACTIVITY										
Asset Turnover	1.24x	1.50x	0.79x	0.85x	0.85x	0.97x	0.98x	1.00x	1.02x	1.04x
Inventory Turnover	3.63x	4.18x	3.59x	4.55x	4.75x	4.57x	4.62x	4.62x	4.62x	4.62x
Days Sales Outstanding (DSO)	42.8	34.3	33.8	30.5	25.3	30.1	29.0	29.0	29.0	29.0
Days Inventory Held (DIH)	100.5	87.3	101.6	80.2	76.9	79.9	79.0	79.0	79.0	79.0
Days Payable Outstanding (DPO)	78.4	81.3	77.1	73.0	84.3	72.9	77.0	77.0	77.0	77.0
Cash Conversion Cycle (CCC)	64.9	40.2	58.3	37.7	17.8	37.1	31.0	31.0	31.0	31.0
Receivables Turnover	8.53x	10.65x	10.80x	11.96x	14.45x	12.13x	12.59x	12.59x	12.59x	12.59x

Source: Crocs 10-K FY2020-2025; Model BS/IS projections

VALUATION										
Price / Earnings (P/E)	1378.2%	594.2%	798.2%	544.0%	453.8%	-5310.1%	707.9%	669.1%	620.8%	574.4%
Price / Book (P/B)	1483.6%	30618.7%	527.2%	296.6%	234.9%	333.4%	318.8%	298.0%	271.0%	240.6%
EV / Revenue	418.2%	250.6%	163.0%	146.3%	141.3%	143.5%	144.9%	143.5%	140.0%	135.2%
EV / EBITDA	2205.5%	810.6%	651.3%	526.8%	519.5%	599.5%	616.6%	592.8%	559.9%	526.2%
EV / EBIT	2464.5%	848.6%	681.3%	554.1%	554.1%	653.0%	674.0%	646.2%	608.5%	570.6%
EV / FCF	2577.7%	1133.8%	1161.7%	711.4%	627.9%	879.3%	833.3%	848.6%	792.5%	736.6%
Dividend Yield	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Source: Yahoo Finance Mar 27 2026 price \$79.54; PitchBook market data. Note: valuation multiples use current EV/price applied to each year IS for trend analysis.

GROWTH										
Revenue Growth YoY	N/A	66.9%	53.7%	11.5%	3.5%	-1.5%	-1.0%	1.0%	2.5%	3.5%
EBITDA Growth YoY	N/A	172.1%	24.5%	23.6%	1.4%	-13.3%	-2.8%	4.0%	5.9%	6.4%
Net Income Growth YoY	N/A	132.0%	-25.6%	46.7%	19.9%	-108.5%	N/M	5.8%	7.8%	8.1%
EPS Growth YoY	N/A	N/M	N/M	N/M	N/M	N/M	N/M	N/M	N/M	N/M
FCF Growth YoY	N/A	127.4%	-2.4%	63.3%	13.3%	-28.6%	5.5%	-1.8%	7.1%	7.6%

Source: Crocs 10-K FY2020-2025; Model projections

Crocs, Inc. (CROX) – Assumptions Page: Income Statement & Cash Flow

Yellow = input assumptions | Base = Scenario 1 | Upside = Scenario 2 | Downside = Scenario 3 | Amounts in % unless stated

		Projection Period						Rationale	Source
		Year 1 2026	Year 2 2027	Year 3 2028	Year 4 2029	Year 5 2030			
Assumption	Scenario #								
Income Statement Assumptions									

[illegible]

Basic Shares Reduction	2%	2%	2%	2%	2%
Diluted Shares	2%	2%	2%	2%	2%

Cash Flow Statement Assumptions

	Active		1.80%	1.8%	1.8%	1.8%	1.8%	
Capital Expenditures (% of Revenue)	Base	1	1.80%	1.8%	1.8%	1.8%	1.8%	FY2025 Capex dropped to 1.3% as company entered cost cutting mode. Management guided \$70-80M for FY2026 vs ~\$4B revenue = ~1.8%. Base: stable at guidance level. Upside: higher investment for expansion. Downside: further Capex cuts to preserve cash.
	Upside	2	2.0%	2.0%	2.0%	2.0%	2.0%	Crocs 10-K FY2024 p.55 Crocs 8-K Feb 2026 (Capex guidance \$70-80M)
	Downside	3	1.5%	1.5%	1.5%	1.5%	1.5%	
Stock-Based Compensation (% of Revenue)	Base	1	0.80%	0.8%	0.8%	0.8%	0.8%	Historical avg FY2022-2024: ~0.8%. Non-cash add-back in CFO. Relatively stable % of revenue. Upside: scale benefits dilute SBC. Downside: higher executive compensation.
	Upside	2	0.7%	0.7%	0.7%	0.7%	0.7%	PitchBook Cash Flow Statement Row 20 Crocs 10-K FY2024
	Downside	3	0.9%	0.9%	0.9%	0.9%	0.9%	

Crocs, Inc. (CROX) – Assumptions Page 2: Balance Sheet / NWC

Yellow = input | Base = Scenario 1 | Upside = Scenario 2 | Downside = Scenario 3 | Days unless stated

			Projection Period (FY2026E – FY2030E)					Rationale		Source	
Assumption	Scenario	#	Year 1 2026E	Year 2 2027E	Year 3 2028E	Year 4 2029E	Year 5 2030E				
Balance Sheet / NWC Assumptions											
Active			29.0 days	29.0 days	29.0 days	29.0 days	29.0 days	3yr avg FY2023-2025: 28.6 days. Fluctuating between 25-30 days. Base: stable at 3yr average. Upside: faster collections + growing DTC mix reduces receivables. Downside: slower collections under macro stress. Crocs 10-K FY2025 PitchBook Balance Sheet (AR / Revenue × 365)			
Days Sales Outstanding (DSO)	Base	1	29.0 days	29.0 days	29.0 days	29.0 days	29.0 days				
	Upside	2	26.0 days	26.0 days	26.0 days	26.0 days	26.0 days				
	Downside	3	32.0 days	32.0 days	32.0 days	32.0 days	32.0 days				
Active			79.0 days	79.0 days	79.0 days	79.0 days	79.0 days	3yr avg FY2023-2025: 79.0 days. Relatively stable around 77-80 days. Base: stable at historical average. Upside: lean inventory management + strong demand reduces stock days. Downside: excess inventory buildup due to weak demand. Crocs 10-K FY2025 PitchBook Balance Sheet (Inventory / COGS × 365)			
Days Inventory Held (DIH)	Base	1	79.0 days	79.0 days	79.0 days	79.0 days	79.0 days				
	Upside	2	74.0 days	74.0 days	74.0 days	74.0 days	74.0 days				
	Downside	3	84.0 days	84.0 days	84.0 days	84.0 days	84.0 days				
Active			77.0 days	77.0 days	77.0 days	77.0 days	77.0 days	3yr avg FY2023-2025: 76.8 days. Fluctuating 73-84 days. Base: stable at 3yr average. Upside: stronger supplier relationships + extended payment terms. Downside: tighter supplier terms under financial stress. Crocs 10-K FY2025 PitchBook Balance Sheet (AP / COGS × 365)			
Days Payable Outstanding (DPO)	Base	1	77.0 days	77.0 days	77.0 days	77.0 days	77.0 days				
	Upside	2	82.0 days	82.0 days	82.0 days	82.0 days	82.0 days				
	Downside	3	70.0 days	70.0 days	70.0 days	70.0 days	70.0 days				
Active											
Active			1.2%	1.2%	1.2%	1.2%	1.2%	3yr avg FY2023-2025 stable. Base: stable at historical average. Upside: better cost control + efficient working capital management. Downside: higher accruals and liabilities under stressed conditions. Crocs 10-K FY2024 PitchBook Balance Sheet			
Prepaid & Other (% of Revenue)	Base	1	1.2%	1.2%	1.2%	1.2%	1.2%				
	Upside	2	1.1%	1.1%	1.1%	1.1%	1.1%				
	Downside	3	1.4%	1.4%	1.4%	1.4%	1.4%				
Active			2.5%	2.5%	2.5%	2.5%	2.5%	3yr avg FY2023-2025 stable. Base: stable at historical average. Upside: better cost control + efficient working capital management. Downside: higher accruals and liabilities under stressed conditions. Crocs 10-K FY2024 PitchBook Balance Sheet			
Accrued Liabilities (% of Revenue)	Base	1	2.5%	2.5%	2.5%	2.5%	2.5%				
	Upside	2	2.2%	2.2%	2.2%	2.2%	2.2%				
	Downside	3	2.8%	2.8%	2.8%	2.8%	2.8%				
Active											
Active			2.3%	2.3%	2.3%	2.3%	2.3%	3yr avg FY2023-2025 stable. Base: stable at historical average. Upside: better cost control + efficient working capital management. Downside: higher accruals and liabilities under stressed conditions. Crocs 10-K FY2024 PitchBook Balance Sheet			
Other Current Liabilities (% of Revenue)	Base	1	2.3%	2.3%	2.3%	2.3%	2.3%				
	Upside	2	2.1%	2.1%	2.1%	2.1%	2.1%				
	Downside	3	2.6%	2.6%	2.6%	2.6%	2.6%				

References & Data Sources

Reference / Source	URL / Location
Crocs, Inc. Form 10-K, FY2025	https://pitchbook.com
Crocs, Inc. Form 10-K, FY2024	https://pitchbook.com
Crocs, Inc. Form 10-K, FY2023	https://pitchbook.com
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Crocs, Inc. (CROX) — AS1 Assumption Documentation

Income Statement & Cash Flow Assumptions | Historical analysis (FY2022–FY2024) | \$ in thousands

① COGS % of Revenue			
Source: Income Statement → used to derive Gross Margin projection assumption			
Year	COGS (\$K)	Revenue (\$K)	COGS %
FY2022	1,694,703	3,554,985	47.7%
FY2023	1,752,337	3,962,347	44.2%
FY2024	1,691,850	4,102,108	41.2%
FY2025	1,683,592	4,040,647	41.7%
3-yr Avg (FY22–24)			44.4%
↓ Declining trend — COGS % improving as Crocs brand mix shifts to higher-margin products. Base case assumes continued gradual improvement to 40.5% by FY2030.			

② SG&A % of Revenue			
Source: Income Statement → used to project operating expenses			
Year	SG&A (\$K)	Revenue (\$K)	SG&A %
FY2022	982,706	3,554,985	27.6%
FY2023	1,151,064	3,962,347	29.1%
FY2024	1,338,032	4,102,108	32.6%
FY2025	1,435,580	4,040,647	35.5%
3-yr Avg (FY22–24)			29.8%
↑ Increasing — driven by HEYDUDE restructuring costs & elevated marketing. Base case: gradual normalization to 33% by FY2030 as restructuring charges fade.			

③ D&A % of Revenue (Total, from CFS)			
Source: Cash Flow Statement → used for DCF addback & IS D&A projection			
Year	D&A (\$K)	Revenue (\$K)	D&A %
FY2022	39,229	3,554,985	1.1%
FY2023	54,304	3,962,347	1.4%
FY2024	69,840	4,102,108	1.7%
FY2025	79,282	4,040,647	2.0%
3-yr Avg (FY22–24)			1.4%
↑ Increasing — Capex investment driving higher depreciation. Note: IS D&A (~0.9% rev) differs from CFS D&A (~2.0%) as intangible amortization is captured in COGS/SG&A. Full 2.0% used in DCF addback.			

④ Capital Expenditures % of Revenue			
Source: Cash Flow Statement → used to derive Unlevered FCF in DCF			
Year	Capex (\$K)	Revenue (\$K)	Capex %
FY2022	104,190	3,554,985	2.9%
FY2023	115,625	3,962,347	2.9%
FY2024	169,347	4,102,108	4.1%
FY2025	51,365	4,040,647	1.3%
3-yr Avg (FY22–24)			3.3%
FY2024 spike from HEYDUDE integration. FY2025 dropped sharply to 1.3% (cost-cutting mode). Mgmt guided \$70–80M for FY2026 (~1.8%). Base case: 1.8% stable. Source: Crocs 8-K Feb 2026.			

⑤ Revenue Growth Rate — Historical Analysis & Projection Rationale			
Source: Crocs 10-K FY2020–FY2025, Crocs 8-K Feb 2026, Grand View Research (4.3% CAGR 2025–2030)			
Year	Revenue (\$K)	YoY Growth	Notes
FY2020	1,385,951	—	COVID baseline — foam comfort surge begins
FY2021	2,313,416	66.9%	Post-COVID boom; DTC explosion
FY2022	3,554,985	53.7%	HEYDUDE acquisition (\$2.5B); blended boost
FY2023	3,962,347	11.5%	Normalization; organic growth decelerating
FY2024	4,102,108	3.5%	Slow growth; HEYDUDE headwinds emerging
FY2025	4,040,647	-1.5%	HEYDUDE down 14%; Crocs Brand +1.5%
3-yr CAGR (FY22–25)	0.043608753		Excludes COVID distortion; used as baseline reference
2-yr CAGR (FY23–25)	0.009832172		Most recent trend; reflects deceleration phase
Industry CAGR 2025–30	4.3%		Grand View Research global footwear market forecast
Mgmt FY2026 Guidance	0% to (1%)		Crocs 8-K Feb 2026 — conservative flat/decline

Base Case Projection Rationale		
FY2026E	-1.0%	Per management guidance (flat to -1%). HEYDUDE trough year.
FY2027E	1.0%	Gradual recovery; HEYDUDE stabilizing; Crocs international +8%.
FY2028E	2.5%	Approaching industry CAGR; DTC channel gains momentum.
FY2029E	3.5%	Near industry CAGR; HEYDUDE contributing positively.
FY2030E	4.3%	Fully converged to Grand View Research industry CAGR of 4.3%.

Why revenue recovers from FY2027+	Why recovery is conservative (Base case)
- HEYDUDE bottoming out — strategic actions underway (SKU rationalisation, new brand president) - Crocs international +11% in FY2025 — Asia Pacific & EMEA expanding - DTC channel growing faster than wholesale, higher margins - New product innovation — collab drops driving earned media	- HEYDUDE turnaround uncertain — past guidance missed significantly - US tariff headwinds on Vietnam/China manufacturing costs - North America consumer spending under pressure (rates, credit) - Strong USD hurting international revenues when converted back